THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 1

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A borrower is able to repay a bank loan easily after selling a good harvest. This shows credit as: 1

(a) a tax
(b) a debt trap
(c) a barter
(d) a means to increase production and income

2. The one factor which makes demand deposits money is: 1

(a) issuance by RBI **(b)** acceptance of cheques as payment
(c) printing on paper **(d)** colour

3. A bank has deposits of Rs 10,00,000 and keeps 15 per cent as cash. The amount available for loans is: 1

(a) Rs 15,00,000 **(b)** Rs 8,50,000 **(c)** Rs 9,85,000 **(d)** Rs 1,50,000

4. Which is a likely benefit of a formal bank loan over a moneylender's loan to a farmer? 1

(a) no need to repay **(b)** no interest at all
(c) lower interest **(d)** no records to be kept

5. Which of the following gives credit at the lowest interest rate to small borrowers? 1

(a) moneylenders **(b)** traders
(c) banks and cooperatives **(d)** employers

6. Women in a SHG meet regularly and also discuss social issues like health and nutrition. This shows that SHGs: 1

(a) ban talking **(b)** also help in solving social problems
(c) give education only **(d)** cannot discuss them

7. If the interest rate on loans rises, the cost of borrowing: 1

(a) rises **(b)** falls **(c)** disappears **(d)** stays the same

8. A trader gives goods on credit and asks the customer to pay later with 3 per cent interest per month. This is a loan from: 1

(a) a cooperative **(b)** the RBI
(c) an informal source **(d)** a formal source

9. Which of the following is true about SHG loans? 1

(a) They are free of interest
(b) They are given from the group's own savings
(c) They need heavy collateral
(d) They are given by the RBI

10. A person pays a shopkeeper by writing a cheque. The money moves from: 1

(a) the shopkeeper to the person
(b) his purse to the shopkeeper's bank
(c) the RBI to the shopkeeper
(d) his bank account to the shopkeeper's account

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. How can SHGs reduce dependence on moneylenders? 2

12. A bank has Rs 2,00,000 deposits and keeps 15 per cent cash. How much does it lend? 2

13. What risks do borrowers face with informal lenders? 2

14. Calculate the interest on a loan of Rs 20,000 at 8 per cent per annum for one year. 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how loan terms can differ for two borrowers. 3

16. Explain how a SHG decides about loans. 3

17. How do cheques and currency differ in the way they are used? 3

OR

Why is formal credit still not available to all poor? 3

18. Compare interest rates and risk in formal and informal credit. 3

OR

Why does the government not allow others to issue currency? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Illustrate a debt trap and suggest ways to avoid it. 5

OR

Compare formal and informal sources of credit on interest, supervision and risk. 5

20. Describe the role of demand deposits and cheques in modern money. 5

OR

Explain why the poor still depend on informal credit and suggest solutions. 5

END OF QUESTION PAPER — Total: 40 Marks